

PRODUCT TEARDOWN

Spotify

The royalty ceiling

May 2026

THE SETUP

The numbers say Spotify won. The margins say the war isn't over.

Spotify is the undisputed leader in audio streaming. But for 18 years, market leadership and profit were two different things - and Spotify only had one of them.

675M

Monthly Active Users, Q4 2024

263M

Premium Subscribers, Q4 2024

\$10B

Royalties paid to rights holders
in 2024 alone

180+

Markets - larger than any
competitor

BUSINESS MODEL

Free converts at 39%, Premium pays out 70% - Spotify broke even in FY2024 on price hikes, not product breakthroughs

FREE TIER - 412M USERS

Ad-supported, shuffle-only on albums

6 skips/hour, 90-120 second ads, limited playback control. Ad revenue is 12-13% of total revenue. Structurally lower margin than Premium - but the funnel that feeds 263M paying subscribers at a 39% conversion rate.

PREMIUM TIER - 263M SUBSCRIBERS

\$11.99/month in the US (raised from \$9.99 in 2023)

Ad-free, full on-demand playback, 320kbps, downloads. 87-88% of total revenue. Individual, Duo (\$16.99), Family (\$19.99 ×6), and Student (\$5.99) tiers. Price hikes in 50+ markets in 2023-2024 produced lower churn than analysts expected.

FY2024 FINANCIALS

First full year of operating profit in 18 years of existence

Revenue: €15.7B (+18.3% YoY). Operating income: +€1.4B. Net income: +€1.14B. Gross margin expanded to 32.2% in Q4 2024 - up 555bps YoY. Premium ARPU grew to €4.71 (+9% YoY) by Q3 2024. The royalty structure is unchanged.

THE STRUCTURAL CEILING

~70% of every Premium dollar leaves as royalties

Music royalties are paid per stream to labels, publishers, and collecting societies. Spotify's gross margin on music has a structural ~30% ceiling - before hosting, R&D, and G&A. Every growth initiative is a question of margin mix, not just revenue.

ACT 01

The Win

01

THE MOAT

Spotify's moat isn't the catalog - it's 18 years of listening context that no competitor can buy or replicate

Apple has 1.5B devices. YouTube has the world's largest video catalog. Amazon has Prime bundling. Spotify has something harder to acquire: the largest behavioral dataset on how humans experience music - built over 18 years, 675M users, and billions of sessions.

DATA DEPTH

Cross-genre, mood-context, time-of-day signals at unmatched scale

675M users x daily sessions x skip/replay/save/share behaviors = a personalization dataset competitors cannot replicate from scratch. Every new user makes the recommendation engine smarter for everyone else.

PERSONALIZATION ENGINE

Discover Weekly created a new genre: the algorithmic playlist

Discover Weekly (2015) proved an algorithm could outperform human curators at finding music users didn't know they needed. Competitors copied the format. Spotify's 18-year head start means the output quality is categorically different.

SWITCHING COST

Playlists and recommendations create lock-in that compounds over time

The average Spotify user has 10+ personal playlists and a recommendation history the platform understands better than they do. Migrating to Apple Music means starting from zero. That accumulation is the moat no one talks about in the competitive landscape.

AI FEATURES

AI DJ doubled engagement YoY - a personalized radio host that competitors can't clone without the underlying data

Launched February 2023, now active in 60+ markets. AI DJ uses a synthesized voice (via Sonantic acquisition) to introduce song sets, reference your listening history, and take requests. Engagement doubled year-over-year by late 2024. No competitor has matched it.

WHAT MAKES IT WORK

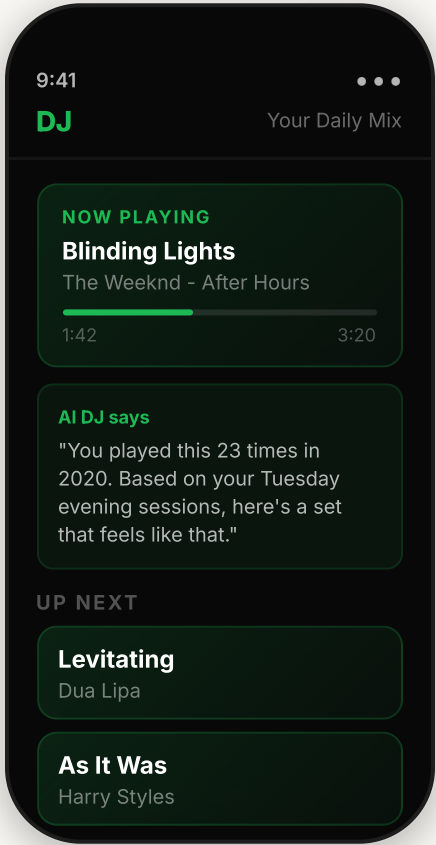
Context awareness tied to your specific history - not a generic playlist

DJ references that you played a song 23 times in 2020, or that it suits a Tuesday evening session. Apple and YouTube can build the same UI. They cannot generate that level of personalized context without 18 years of your data.

AI PLAYLIST (APRIL 2024)

Natural language-to-playlist - "sad songs for a rainy commute" generates a real playlist

Expanded to 40+ new markets in 2025. Positions Spotify as the interface layer between how humans describe mood and the music that matches it. The closest competitor equivalent requires a search engine - Spotify requires a sentence.



ACT 02

The Trap

02

THE ROYALTY PROBLEM

Every dollar Spotify earns, 70 cents leaves immediately as royalties - and that structure hasn't changed since 2006

Spotify paid \$10 billion to rights holders in 2024 - a record for any single company in one year. The more it grows, the more it owes. Music is simultaneously Spotify's product, its moat, and its margin ceiling.

THE CORE MATH

~70%

Revenue share paid to labels, publishers, and collecting societies per stream. Spotify's gross margin on music tops out at approximately 30% - before paying for hosting, engineering, and marketing. A SaaS company at this scale would have 70-80% gross margins. Spotify has 30%.

PER-STREAM ECONOMICS

\$0.003-0.005 per stream paid to artists

Apple Music pays approximately \$6.20 per 1,000 streams vs Spotify's ~\$3.00 - half the rate. Spotify compensates with 3x the users, but rates have not meaningfully increased even as Spotify's gross margin improved from 25% to 32% between 2022-2024.

THE SCALE PARADOX

More users = more royalties owed, linearly

Every MAU added is another stream counter incrementing. Unlike SaaS infrastructure costs that grow slower than revenue, Spotify's royalty obligations scale in near-perfect proportion to usage. There is no operating leverage in the music licensing model.

COMPETITIVE PRESSURE

Apple gives away lossless audio for free at \$10.99/month. Spotify announced HiFi in February 2021 and still hasn't shipped it.

Within months of Spotify's HiFi announcement, Apple Music and Amazon Music launched lossless at no extra cost. Spotify's multi-year delay - blamed on label licensing disputes - handed competitors a permanent quality argument with high-spend users.

SPOTIFY 263M Premium subscribers - 31.7% global paid market share Best discovery engine. Podcasts + audiobooks in one app. No lossless as of early 2026 (4+ years after announcement). \$11.99/month - same price as Apple Music with fewer audio quality features.	APPLE MUSIC ~110M subscribers - 12.6% market share Lossless + Dolby Atmos included at \$10.99/month. iOS ecosystem lock-in via Siri, CarPlay, HomePod. No free tier - converts through trial only. Inferior discovery vs Spotify.	YOUTUBE MUSIC ~80-125M subscribers - fastest growing DSP in 2024 Full YouTube catalog including live performances, covers, and unofficial uploads. Bundled with YouTube Premium. Google's recommendation infrastructure. UI/UX widely criticized but catalog breadth is a structural advantage.	AMAZON MUSIC ~115M (includes Prime bundling) HD/Ultra HD audio included at same price as Spotify. Deep Alexa integration. Bundled with Prime (\$139/year). Low engagement and session depth - not a primary destination, but floor-priced by Prime economics.
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ARTIST ECONOMICS

The 1,000-stream threshold cut royalties for 87% of tracks and redirected \$47M to artists already winning

In early 2024, Spotify implemented a policy requiring tracks to hit 1,000 streams per year to generate any royalties at all. The result: roughly 87% of all tracks on the platform now earn \$0. The stated rationale was eliminating ambient/noise content - but the money flowed to major label artists, not indie creators.

THE POLICY

1,000 streams per year minimum to earn any royalties at all

Tracks below the threshold generate \$0 - their accumulated streams are pooled and redistributed to artists already above it. Spotify's stated rationale: direct money away from functional noise (white noise, ambient content) toward "real" artists. Industry critics called it a major label windfall by design.

THE MATH

87% of tracks earn nothing. The top 1,450 artists each earned \$1M+ in 2024.

The distribution of streaming royalties mirrors pre-streaming music economics - the top 1% captures the majority. The \$47M redirected is real money, but its destination concentrates wealth at the top of an already concentrated industry. Per-stream rates have not meaningfully increased as Spotify's gross margin expanded.

SPOTIFY'S DEFENSE

Total 2024 royalty payouts hit a record \$10B - up from \$7B in 2022

The "Loud and Clear" annual report shows the 100,000th-ranked artist earns 10x more than in 2014. The absolute royalty pool has grown substantially. The debate is distribution policy - and whether Spotify's threshold decision concentrates the growing pool further at the expense of the long tail.

ACT 03

The Product

03

CORE EXPERIENCE

The app is trying to be music, podcasts, audiobooks, and social at once - and the seams are starting to show

Spotify's home screen is a battleground between three product visions: the music app it was built as, the podcast platform it tried to become, and the audio super-app it wants to be. Users who came for music increasingly encounter podcast cards and audiobook recommendations they didn't ask for.

MUSIC UX - STRONG

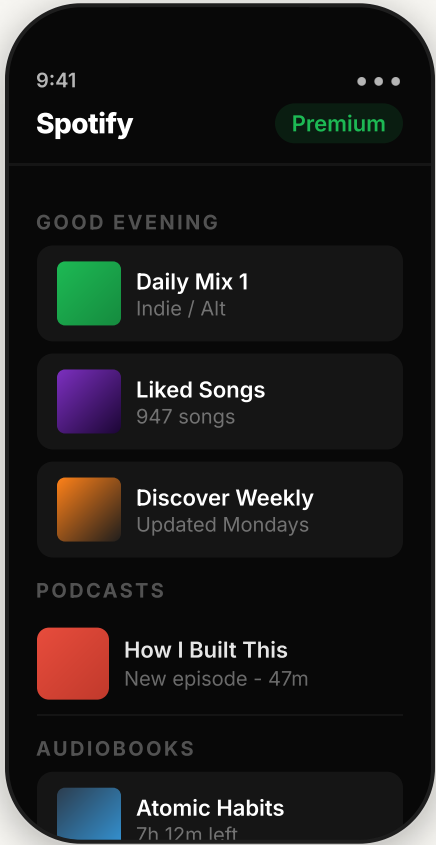
Playback controls, crossfade, quality settings, offline downloads

Streaming quality control, crossfade transitions, Spotify Connect for multi-device handoff. Collaborative playlists. Social sharing. The core music experience remains best-in-class - the problem is what surrounds it.

LIBRARY - WEAK

Folder system is primitive for anyone with 100+ playlists

No nested folders. No custom tagging despite being the top user request since 2016. Smart filters were added in 2024 but don't solve the structural library organization problem. Power users compensate with naming conventions and search - a paper-over, not a fix.



USER PAIN POINTS

Users don't hate Spotify - they hate that every annual feature removal gets rebranded as innovation

Spotify's most viral product moment - Wrapped - became its most visible trust failure in 2024. The consistent pattern: beloved features disappear to make room for AI-driven replacements that feel like cost-cutting dressed as progress.

WRAPPED 2024 - TRUST FAILURE

AI replaced fan favorites and users noticed immediately

Music cities, listening aura, and zodiac insights (beloved for their shareability) were replaced with an AI-generated podcast via Google NotebookLM. Response across TikTok, Reddit, and Twitter was overwhelmingly negative: "empty," "lazy," "AI slop." Wrapped 2025 reversed course entirely. The lesson: Wrapped is a trust-sensitive product touchpoint, not a cost center to optimize.

FREE TIER FRICTION

Shuffle-only on albums is the single most complained-about restriction since 2014

Free users cannot play albums on demand - only shuffle. Combined with 6 skips per hour and 90-120 second ads, the free experience has actively degraded as Spotify optimizes conversion. Users increasingly use YouTube for free on-demand playback - the competitor benefiting most from Spotify's free tier restrictions.

HIFI PROMISE GAP

Announced February 2021, Apple shipped lossless June 2021 - Spotify is still working on it

4+ years after the announcement, audiophile-segment users have migrated to Apple Music or Tidal. The delay (label licensing disputes over revenue share) is a permanent reputational debt with precisely the high-spend subscribers that a Music Pro tier needs to retain and upsell. The announcement created the expectation; the silence created the churn.

THE BUNDLE BET

15 hours of audiobooks bundled into Premium is the right strategic bet - the Audible killer that runs at better margins than music

Spotify acquired Findaway in 2022 and embedded 15 hours per month of audiobook listening into standard Premium - a direct shot at Audible's \$15/month subscription. Combined with 6M+ podcasts and growing video podcast consumption, Spotify is the only platform bundling all three audio formats meaningfully.

PODCAST PLATFORM

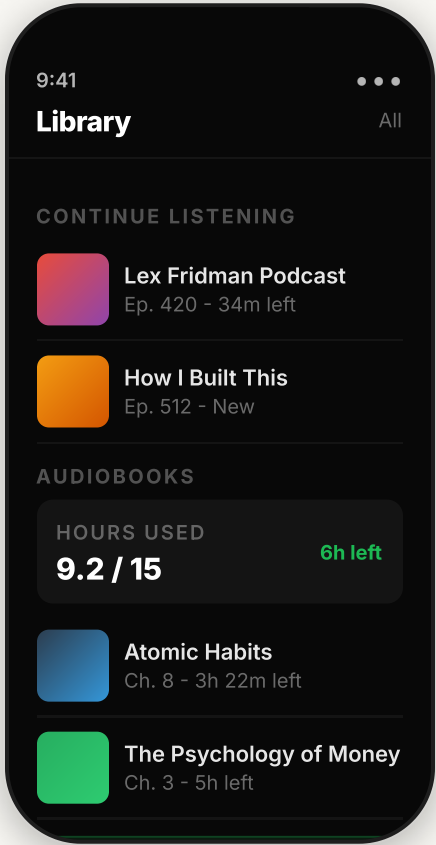
#1 globally with 6M+ shows and growing video

Spotify Partner Program (Jan 2025): 50/50 ad revenue split. Video podcast consumption up 20%+ since launch. Creator payouts up 300% month-over-month in the first month. Building a creator incentive structure that YouTube has to respond to.

AUDIOBOOK BUNDLE

15hr/month included - Audible charges \$15/month for equivalent access

Available in 13 markets with Audiobooks+ add-on for extended listening. Audiobook distribution margin profile is better than music royalties. Bundling increases perceived Premium value and justifies price increases without changing the music royalty structure underneath.



ACT 04

Escape Attempts

04

THE PODCAST BET

Spotify spent \$1B on exclusive podcasts. The Obamas made one show. Meghan Markle made zero episodes.

The thesis: own exclusive audio content, drive Premium conversions, build the Netflix of audio. The result: exclusivity didn't convert listeners to Premium - they followed the content on the free tier. Spotify scrapped the exclusivity strategy in February 2024.

WHAT WAS SPENT (2020-2023)

~\$1B+

Joe Rogan Experience: ~\$200M exclusive deal. Call Her Daddy (Alex Cooper): ~\$60M. The Obamas (Higher Ground): ~\$25M. Prince Harry and Meghan: ~\$20M. Plus Gimlet, Anchor, Parcast, Megaphone acquisitions. Kim Kardashian, Trevor Noah, and more.

WHAT FAILED

Exclusivity did not drive Premium conversion

Listeners followed content to Spotify but consumed it on the free tier. The Obamas produced one show (Renegades, 2022) and departed. Prince Harry and Meghan produced zero episodes and parted ways in 2023. Podcast division head Julie McNamara exited May 2024. Three rounds of layoffs gutted the podcast org in 2023.

WHAT SURVIVED

Infrastructure bets paid off - the content bets didn't

Anchor (now Spotify for Podcasters), Megaphone, and Parcast were retained and generate returns. Joe Rogan renewed in 2024 - non-exclusive this time. Spotify remains the #1 podcast platform globally, just not through the exclusivity path it spent \$1B to test. CEO Daniel Ek: "We got out of deals that didn't work."

THE QUALITY GAP

Spotify HiFi: announced February 2021, Apple launched lossless in June 2021 - Spotify is still working on it 4 years later

The HiFi delay isn't a product problem - it's a licensing negotiation impasse. Labels reportedly demanded incremental royalty revenue from any lossless premium tier. Spotify refused to pay it. The result: Apple, Amazon, and Tidal gained a permanent audio quality argument at no additional cost to themselves.

Feb 2021	Spotify HiFi announced for "later this year" CD-quality lossless audio promised for Premium users at no extra charge. Positioned as Spotify's answer to Tidal's audiophile premium.
Jun 2021	Apple Music launches Lossless + Dolby Atmos for free Included in existing \$9.99/month subscription. Amazon Music HD/Ultra HD also launches at no extra cost. Spotify's announcement has become a liability within 4 months.
2022-2024	Label licensing negotiations stall - for three years Labels reportedly want a revenue share on a higher-priced lossless tier. Spotify refuses to create a separate paid tier. Audiophile users migrate to Apple Music. Impasse holds through three consecutive years of earnings calls where HiFi goes unmentioned.
Sep 2025	Spotify quietly adds lossless to Premium in select markets - no announcement Possibly abandoning the separate HiFi tier model entirely. Audiophile users who migrated to Apple Music in 2021-2022 have already been lost - and their listening history has transferred with them.

THE TURNAROUND

Spotify's first profit came from raising prices and cutting 2,300 jobs - not from solving any fundamental structural problem

FY2024 operating income of +€1.4B is real and hard-won. But the drivers matter. This was operating leverage from cost reduction and ARPU expansion - not a breakthrough in royalty structure, and not a new high-margin product line hitting meaningful scale.

PRICE HIKES - WORKED

9-22% increases across 50+ markets in 2023-2024

Premium ARPU grew to €4.71 (+9% YoY) by Q3 2024. Lower churn than analysts feared - suggesting Spotify's discovery moat creates genuine switching costs. Price elasticity was more favorable than any prior raise. The discovery engine justifies the price; the data moat makes users absorb it.

COST CUTS - WORKED

2,300 employees cut across 3 rounds in 2023 - 17% in December alone

January 2023: 600 jobs (6%). June 2023: 200 from podcast division (2%). December 2023: 1,500 jobs (17%). Total opex reduction drove the margin expansion. CEO Daniel Ek: "Not a step back - a strategic reorientation." Wrapped 2024's AI substitution is widely attributed to reduced team capacity post-cuts.

PODCAST MARGIN - PARTIALLY WORKED

Infrastructure acquired (Anchor, Megaphone) generates returns. Exclusivity deals did not.

Owned-and-operated podcast content (Parcast, Gimlet) is now profitable after the layoffs. The 50/50 Partner Program revenue split runs at better margin than music royalties. But the lesson is that the \$1B in exclusive deal spending generated negative ROI - the boring infrastructure acquisitions delivered, the flashy content bets didn't.

ACT 05

The PM Take

05

MOVE 1 - 60 DAYS

Launch a Superfan Score - surface the top 10% of engaged users and give them a reason to upgrade before Music Pro exists

Spotify already has every data point needed to identify superfans: session frequency, playlist depth, artist follows, concert saves, cross-format listening. The gap is a product surface that makes this identity visible and converts it into purchase intent for the Music Pro tier launching in Move 2.

WHAT TO BUILD

Engagement score in profile + Wrapped with a Music Pro waitlist CTA

Calculate a Superfan Score using: session frequency, unique artist discovery rate, playlist curation depth, concert saves, and cross-format consumption (music + podcasts + audiobooks). Surface in profile and in Wrapped as a shareable identity signal. Add a Music Pro waitlist CTA for users in the top 15%.

WHY IT CONVERTS

Superfans want to be recognized - and they'll pay for the identity

The top 10-15% of engaged listeners spend disproportionately on concerts, merch, and music content. A Superfan badge connects identity (I'm a serious listener) with product (here's the tier built for you). No new ML required - the signals already exist in Spotify's data pipeline. Pure product surface work.

EXPECTED OUTCOME

A/B test target: engaged free users converting to Premium at 2x baseline

Primary KPI: Superfan-to-Premium conversion rate vs standard funnel. Secondary KPI: Music Pro waitlist sign-up rate as a leading indicator of willingness to pay \$17/month. This slide does two things simultaneously: drives short-term Premium conversion and builds the qualified audience for the Music Pro launch.

MOVE 2 - 3-6 MONTHS

Ship Music Pro at \$17/month: lossless + concert presales + extended AI DJ - the tier that finally beats Apple on quality

10% of 263M Premium subscribers at +\$5/month = \$1.56B in incremental annual revenue. Even 5% adoption adds \$780M ARR. The label lossless negotiation is clearable if framed as a bundled tier feature, not a new standalone product - which avoids the revenue-share demand that stalled HiFi for 4 years.

LOSSLESS AUDIO

Finally closes the 4-year quality gap with Apple Music

Frame as a Music Pro feature, not a standalone product tier. This sidesteps the label demand for a revenue share on a "new" tier. Audiophile users who haven't yet migrated return. Audiophile users who did migrate now have a reason to come back with their listening history intact.

CONCERT PRESALES

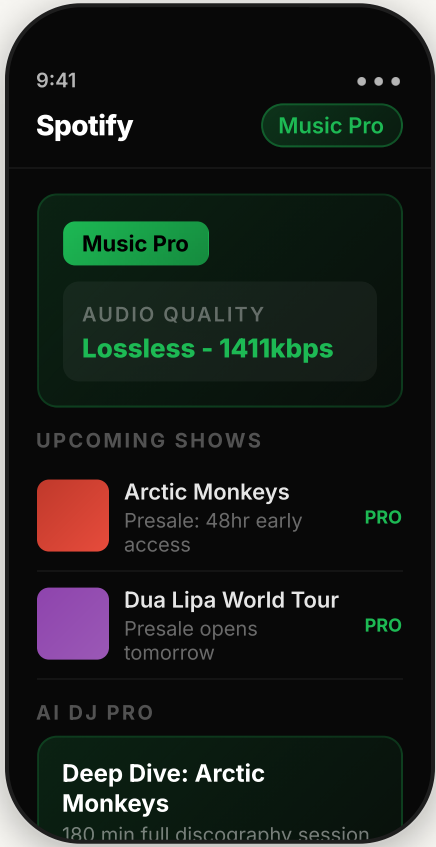
Data partnership with venues - Spotify knows exactly who will buy

Spotify has the most precise artist-fan behavioral data in the world. Partner with AXS, Ticketmaster, and direct venues for 48-hour presale windows for Music Pro subscribers. Spotify captures a referral fee. Artists get better seat-fill rates. Fans get access no other subscription provides.

REVENUE MODEL

\$17/month on base of \$11.99 Premium - target 10-15% of Premium base in Year 1

Conservative (5% of 263M): 13.2M subscribers x \$5/month = \$792M incremental ARR. Target (10%): \$1.58B. Margin profile is better than base Premium if label deals don't require incremental royalties on the tier add-on - which is the key negotiation to close before launch. The Superfan Score waitlist from Move 1 de-risks launch day.



MOVE 3 - 12-18 MONTHS

Build the artist-fan direct layer - Spotify becomes the CRM between artists and their top 1% of listeners

Spotify has the most valuable artist-fan behavioral dataset in the world and monetizes none of it directly. A direct artist-fan channel creates switching costs for both sides - and opens a new margin stack that isn't subject to the 70/30 music royalty split.

ARTIST DIRECT MESSAGING**Artists message their top 1% of listeners directly inside Spotify**

Spotify already segments listeners by engagement tier - the data exists in Spotify for Artists today. Allow artists to send messages, share unreleased content, and announce shows to their most engaged fans. Opt-in for users, monetized per message or via subscription for artists. No email required - highest-intent channel in music.

FAN DEMAND DATA API**License listening data to venue promoters as a paid API product**

Venue promoters currently pay Pollstar and Ticketmaster for ticket demand data. Spotify's stream counts, concert-save behaviors, and superfan density by city are more accurate predictors of ticket demand than any other data source. Zero royalty exposure on this revenue. Pure margin, existing dataset.

MERCH + LIMITED RELEASES**Merch drops and vinyl releases surface directly in the listening experience**

When an artist drops new merch or a limited release, their Music Pro superfans get a notification in-app during or after listening. Spotify takes a 10-15% commission. Not a new business - a distribution layer on a \$4.7B artist merch market that already exists. The switching cost is bilateral: artists get a sales channel, fans get access they can't get anywhere else.

FINAL SYNTHESIS

Spotify's problem isn't Apple or YouTube. It's that music will always pay 70 cents on the dollar.

Superfan Score - 60 days

Music Pro launch - 6 months

Artist-fan direct layer - 18 months

Spotify has 675M users, 18 years of behavioral data, and the world's best music discovery engine. None of that changes the royalty structure. The real bet of the next three years is whether Music Pro, video podcasts, and the artist-fan direct layer can together build a margin stack meaningfully above 30% - before Apple's device ecosystem or YouTube's catalog depth makes the discovery moat irrelevant. A PM at Spotify right now isn't competing against rivals. They're competing against the contract their company signed with the music industry in 2006.